

unscrupulous builders announce development projects in a bid to collect money from buyers and then keep this as a booking fee or part payment for a few years. Once the buyer learns the project is a non-starter, he or she attempts to get a refund. The builder issues post-dated cheques, which subsequently bounce. Then there are finance companies that float get-rich-quick schemes promising abnormally high returns against fixed deposits. Their post-dated cheques for the interest amount bounce.

A high-profile example of this involves vehicle leasing company City Limouzines, which is facing a legal suit from 2,000 investors for allegedly defrauding them to the tune of Rs 100 crore. The investors claim the company duped them of interest payments. The cheques for the interest amount started bouncing from August 2009. A public interest litigation has been filed by the investors against the company and its sister concern City Realcom in the Bombay High Court. Electrical engineer Prafulla Tribhuwan, 29, from Raigad, is one of many angry investors who had invested Rs 1.4 lakh in August last year and was handed post-dated cheques of Rs 7,775 per month. The scheme was to last for five years, after which he would receive a bonus of Rs 50,000. Says Consumer Guidance Society Secretary M.S. Kamat: "Companies promise the world when they give cheques, but they do not carry out their own checks and balances to make sure the money is there."

In 2003, tougher legislation was introduced, extending the sentence for cheque bouncing from a year to two and it also enlarged the definition of a cheque to include the ones in electronic form and the electronic image of a truncated cheque. But the legislation is meaningless as cases are not even reaching the sentencing stage and by the time they do, judges treat them as civil cases and fail to slap tough penalties. Says Piyush Goyal, chairman of the finance and banking

BHASKAR PAUL/www.indiatodayimages.com



CHEQUE ISSUERS: Fullerton India customers

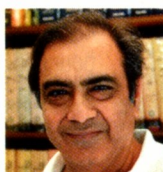
VICTIM: Fullerton India

DATE: Since 2007

Fullerton has filed about 30,000 criminal cases over cheques issued from 2007 amounting to Rs 50 crore. Only a handful of customers have been convicted for failing to repay installments. Fullerton issued loans of about Rs 1 lakh to salaried individuals, small entrepreneurs and shop-owners.

"Loans will become more difficult to obtain as lenders are becoming worried about the scale of cheque bouncing."

SURESH KULKARNI, Executive V-P Operations, Legal and Collections, Fullerton India



"There are cases that could be concluded in a day. But there aren't enough magistrates and courtrooms to address the cases."

MAHESH JETHMALANI, Advocate, Bombay High Court



"Companies promise the world when they give cheques, but do not carry out checks and balances to make sure the money is there."

M.S. KAMAT, Secretary, Consumer Guidance Society

committee of the Indian Merchants' Chamber: "There is no fear in the mind of the cheque issuer because the legal framework is so weak."

The legal and business community is scrambling to find a solution to the problem. ICICI Bank took the initiative earlier this year and contacted the Delhi Legal Services Authority to set up the country's first cyber Lok Adalat on February 8. More than 1.1 lakh cases of the bank were dealt with in a day at five district courts in Delhi. The litigants were exempted from appearing in the courts and were allowed to reach a settlement in any court complex, irrespective of where the case was pending. In the regular Lok Adalats, 9,359 cases of ICICI Bank have been resolved across 80 cities this year. "Lok Adalat is a wel-

come move in ensuring speedy resolution of cheque dishonour cases, as also service related issues," says an ICICI spokesperson.

The International Consumer Rights Protection Council has its own solution. It proposes the creation of a credit rating body that would blacklist repeating offenders. It also calls for post-dated cheques to be certified by the bank so that if they bounce the bank will debit the issuer's account or confiscate his property to pay the payee. While there may be many proposals to settle the cases outside the court system, the crux of the problem remains to be one of a sluggish judicial system. Not only is this hindering people's access to justice, but it is threatening the fabric of India's financial system. ■